Factors determining the amount of centralisation – decentralisation	
Centralisation	**Decentralisation**
Centralization is more appropriate in stable environmental conditions.	If the environment is complex and uncertain the organization requires a greater amount of decentralization.
If the lower level managers are not very competent or experienced enough to take decisions, organizations tend to prefer centralization.	If the lower level managers are competent enough to make the decisions, organizations will benefit from decentralization.
If the lower level managers are not particularly interested in having their says in the decision-making process, it is better to follow centralization.	If the lower level managers are keen in taking part in the decision-making processes, it is advisable to opt for decentralized pattern.
Centralization is needed if the decisions to be taken are significant ones.	For relatively minor decisions, organizations may resort to decentralization.
If the organization faces a risk or threat, it relies more on centralized policies.	For centralization to be effectively practiced, the organizational culture must be more open and trusting.
To run a big organization effectively, centralization is required.	If the organization is a multi-located one with branches at different geographical locations a greater amount of decentralization is required.
It depends largely on the mindset of the people. if the managers believe in having a tighter control over the happenings in an organization, the practice of centralization will prevail.	If, on the contrary, managers are more flexible in their attitude, a decentralization policy will prevail.

6.8 Meaning of Departmentation

'Departmentation' or 'Departmentalisation' is the process of grouping the activities of an enterprise into several units for the purpose of administration at all levels.

The administrative units so created may be designated as departments, divisions, units, branches, sections, etc. The process of organising consists of dividing and grouping of the works to be done in an enterprise and assigning different duties and responsibilities to different people.

6.9 Types of Departmentation

6.7.2 Types of Departmentation

There are several bases of Departmentation. The more commonly used bases are—function, product, territory, process, customer, time etc.

These are explained below:

(A) Departmentation by Functions:

The enterprise may be divided into departments on the basis of functions like production, purchasing, sales, financing, personnel etc. This is the most popular

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